

Economy

The Institute Employment Report: September 2026

07 October 2026

Key takeaways

- Job growth softened further in September, according to Bank of America's deposit data, with growth of 1.4% year-over-year (YoY), from 1.5% in August. But falling unemployment payments in September indicate a relatively healthy overall picture.
- Lower-income households' wage growth remains strongest, despite a narrowing gap. After-tax wage growth eased to 4.5% YoY for lower-income households in September, while rising to 3.8% and 3.7% for middle- and higher-income households, respectively.
- Lower tax withholdings and a relative strengthening in the younger/lower-income end of the labor market are driving this story. Additionally, average hours have risen in some lower-paid industries, which is also boosting pay packets.

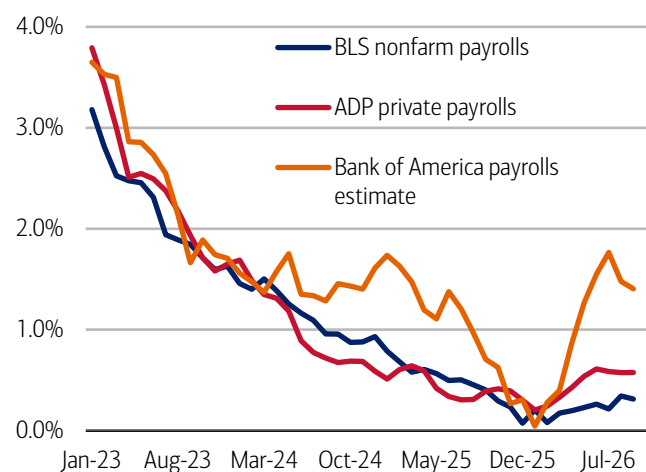
Job growth slowed in September, but unemployment trends are benign

Our estimate of job growth – which uses Bank of America deposit data to track changes in the number of customer accounts receiving a paycheck (see Methodology) – slowed further in September, to 1.4% year-over-year (YoY) from 1.5% YoY in August. The data can be noisy, partly due to seasonal variation and differences in pay-period timing, but in our view, the latest reading is consistent with the easing in payrolls growth seen in the September Bureau of Labor Statistics (BLS) data (Exhibit 1).

Still, despite slower hiring, there is little sign of a rise in joblessness in Bank of America data. Unemployment payments into customer accounts showed a YoY decline in September (Exhibit 2). So, overall, labor market trends appear resilient.

Exhibit 1: September payroll growth showed further slowing in Bank of America deposit account data

Payroll estimates from Bank of America customer deposit account data (three-month moving average, % YoY), the Bureau of Labor Statistics (BLS) and Automatic Data Processing (ADP) (monthly, YoY)



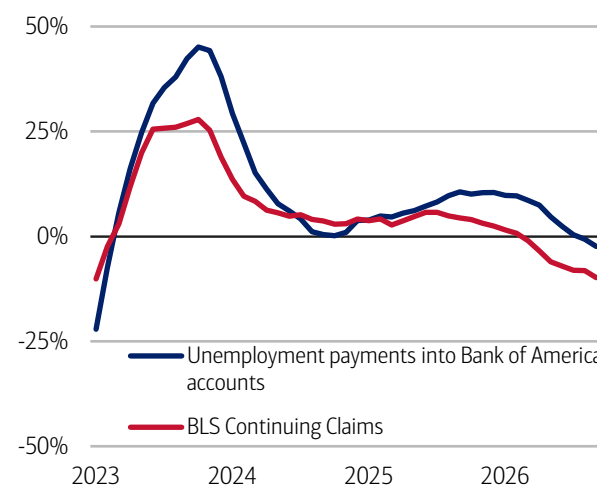
Source: Bank of America internal data, Haver Analytics

Note: BLS and ADP data are seasonally adjusted, Bank of America data is not seasonally adjusted.

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Exhibit 2: Unemployment payments declined YoY in September, according to Bank of America consumer deposit data

Number of households receiving unemployment payments (three-month moving average, YoY%, not seasonally adjusted (NSA)) and BLS Continuing Claims (three-month moving average, YoY%, seasonally adjusted (SA))



Source: Bank of America internal data, Bloomberg

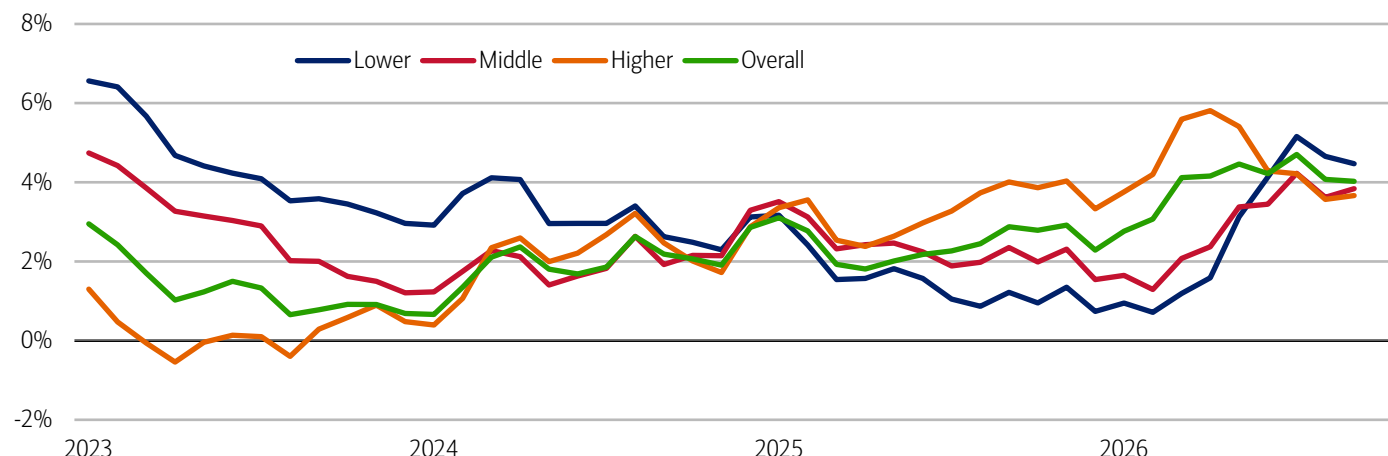
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After-tax wage growth cooled for lower-income, but rose for other cohorts

Lower-income wage growth eased to 4.5% YoY in September from 4.7% YoY in August, while wage growth for middle- and higher-income households rose to 3.8% and 3.7% YoY, respectively. Overall, these changes were modest, and lower-income households are continuing to see faster after-tax wage growth than other cohorts, a notable turnaround from the “K-shaped” pattern we observed over much of 2025 and 2026 (Exhibit 3).

Exhibit 3: Lower-income wage growth remains strongest, despite a narrowing gap

After-tax wage and salary growth by household income terciles, based on Bank of America aggregated consumer deposit account data (three-month moving average, YoY%, SA)



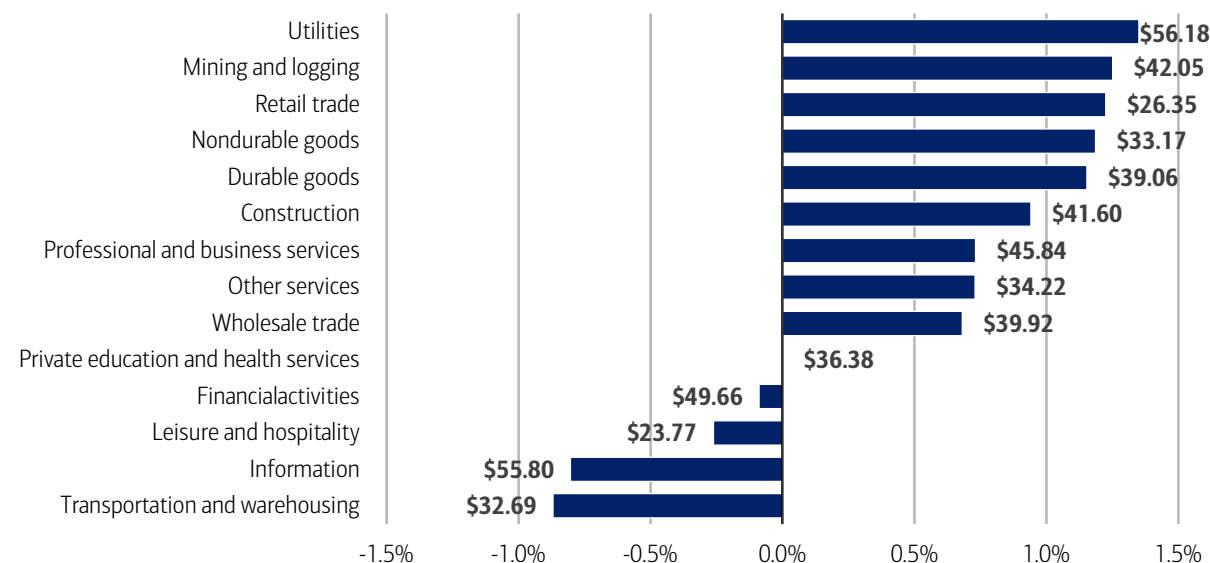
Source: Bank of America internal data

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In our view, the pick-up in lower- and middle-income households’ after-tax wage growth continues to reflect the impact of the One Big Beautiful Bill Act (OBBA) in reducing tax withholdings, alongside an underlying rise in job-to-job changes at the younger/lower-income end of the labor market (for more, read: [The Institute Employment Report: August 2026](#)). Consistent with that underlying pick up, BLS data shows a solid YoY rise in average hours worked in several relatively lower-paid industries, such as manufacturing, retail and other services. Hourly workers in these industries are likely seeing rising paychecks as a result (Exhibit 4).

Exhibit 4: Some relatively lower-paid industries have seen a rise in hours worked

Average weekly hours by industry, July-September 2026 (% YoY) and average hourly earnings by industry, July-September 2026 (\$)



Source: Haver Analytics

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Methodology

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Bank of America aggregated credit/debit card spending per household includes spending from active US households only. Only consumer card holders making a minimum of five transactions a month are included in the dataset. Spending from corporate cards are excluded. Data regarding merchants who receive payments are identified and classified by the Merchant Categorization Code (MCC) defined by financial services companies. The data are mapped using proprietary methods from the MCCs to the North American Industry Classification System (NAICS), which is also used by the Census Bureau, in order to classify spending data by subsector. Spending data may also be classified by other proprietary methods not using MCCs.

Lower, middle and higher household income cuts in Bank of America credit and debit card spending per household, and consumer deposit account data are based on quantitative estimates of each households' income. These quantitative estimates are bucketed according to terciles, with a third of households placed in each tercile periodically. The lowest tercile represents 'lower income', the middle tercile represents 'middle income' and the highest tercile 'higher income'. The income thresholds between these terciles will move over time, reflecting any number of factors that impact income, including general wage inflation, changes in social security payments and individual households' income. The income and tercile in which a household is categorised are periodically re-assessed.

Generations, if discussed, are defined as follows: Gen Z, born after 1995; Younger Millennials: born between 1989-1995; Older Millennials: born between 1978-1988; Gen Xers: born between 1965-1977; Baby Boomer: 1946-1964; Traditionalists: pre-1946.

Estimate of payroll growth from Bank of America internal data is based on the change in customer accounts receiving a paycheck in the month. An adjustment is made for the difference between overall population growth and customer account growth. Occasionally historic payments can be reclassified, leading to revisions in the series.

An estimate of bonus growth from Bank of America deposit data is calculated by looking at customers who have received an inbound ACH payroll transaction in the last two years. From this sample an estimate of bonuses is derived by looking for payroll transactions which are over 50% higher than the median regular payroll payments received by the customer. Of these payments only those that were received around the same time in each of the last two years are selected.

The job-to-job change rate (j2j rate) is defined as the proportion of customers with an identified change in their employer as a proportion of the total number of customers with employment income. We estimate the median pay rise associated with a j2j change using the pay in the first three months of the new job compared to the same three months a year ago.

Additional information about the methodology used to aggregate the data is available upon request.

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Economy

Entering the age of the older consumer

01 October 2026

Key takeaways

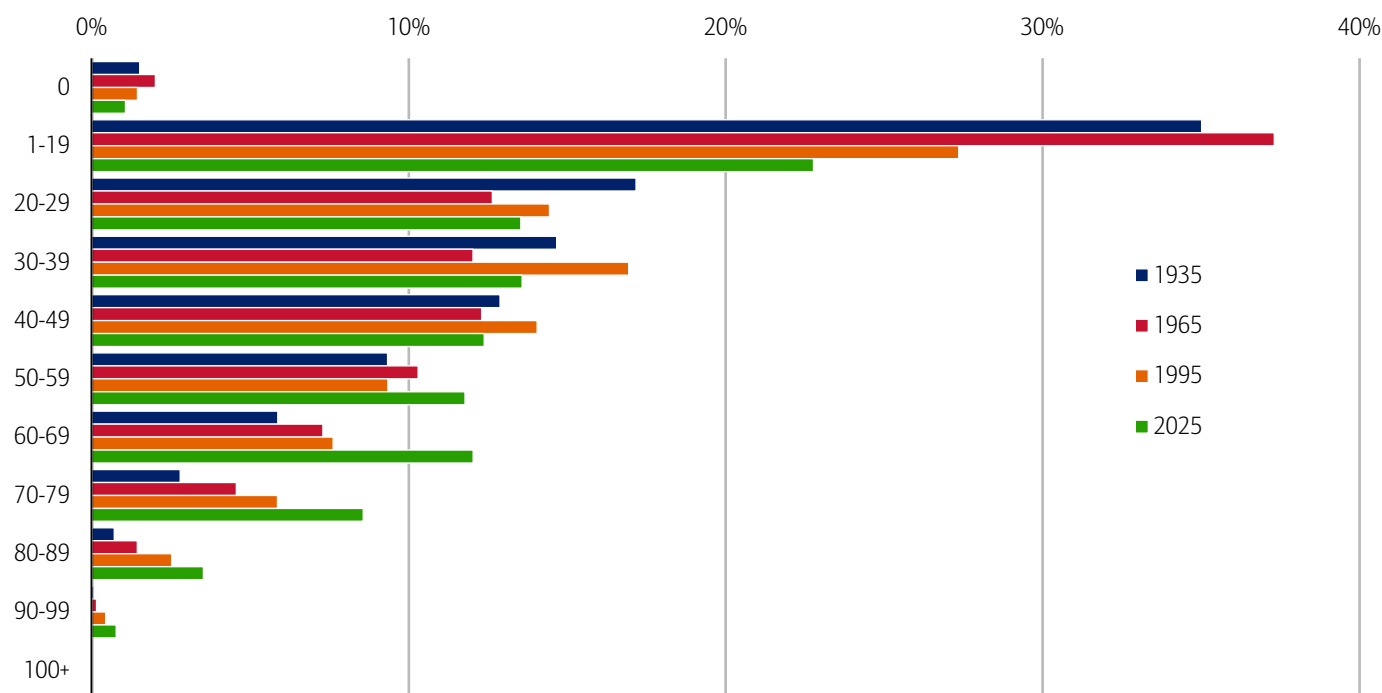
- The older consumer is moving center stage. America's population has been aging for decades, but the shift has accelerated: the share aged over 60 increased by almost 10 percentage points (pp) between 1995 and 2025. And the Census Bureau projects the share of the population over 60 will rise another 5pp by 2055, to stand at nearly 30% of the population.
- More free time means a different spending mix. People aged 65 and over spend around two and a half fewer hours per day working and roughly two hours more on leisure than the overall adult population. Bank of America data shows that older households allocate relatively more of their card spending to groceries and travel, and less to restaurants, gasoline, general merchandise and clothing.
- Households aged over 55 held close to \$140 trillion in net worth in the second quarter of 2026, giving many older consumers considerable capacity to spend on travel and other leisure categories. But wealth is not evenly distributed, and healthcare and other cost pressures remain significant for older households on tighter or fixed incomes.

Population aging is nothing new, but it is accelerating

The US population has been growing relatively “older” for a long time. Exhibit 1 shows that the proportion of the population under 20 years old shrank from the mid-1960s through 2025. At the same time, the proportion of the population in older age groups has been rising.

Exhibit 1: Over time the US population has steadily aged

Proportion of US population by age range (%)



Source: Human Mortality Database; Bank of America Institute calculations

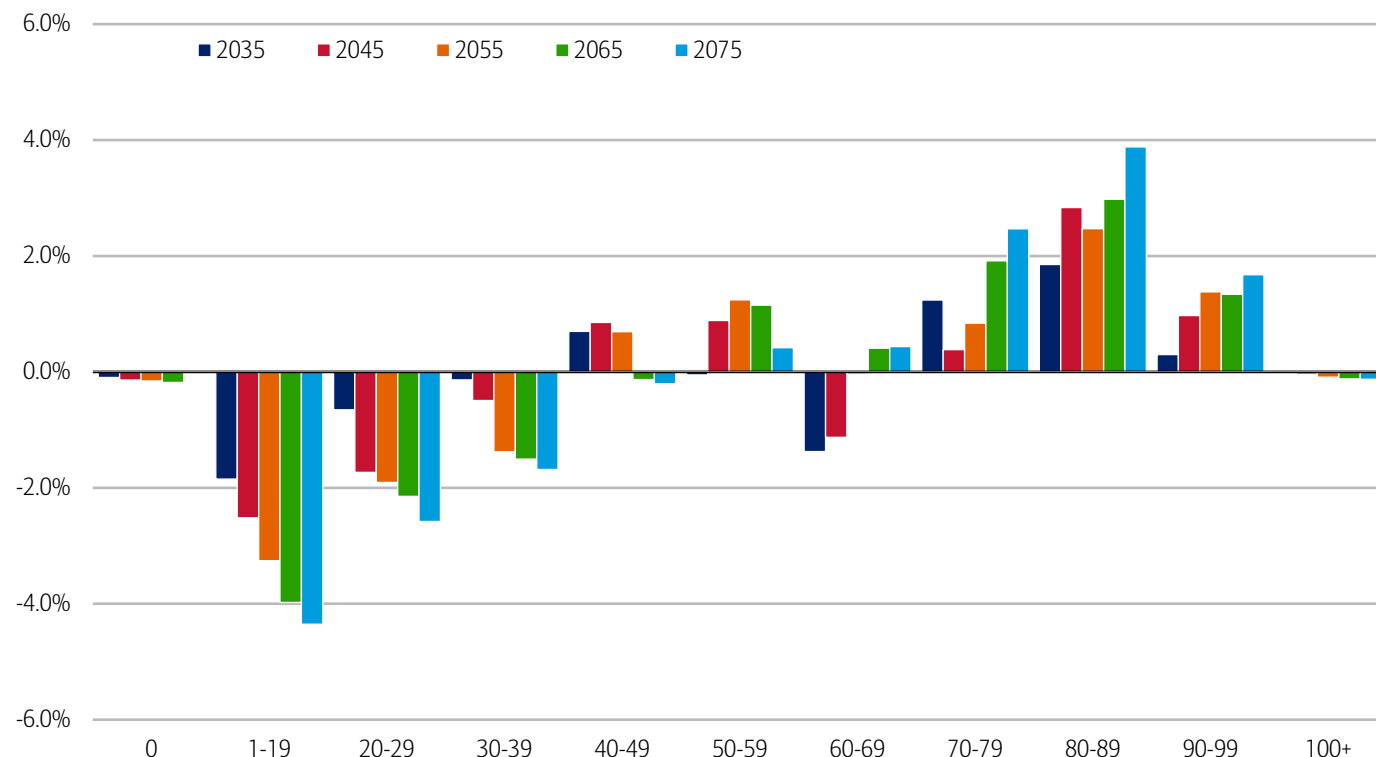
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Additionally, there has been a notable acceleration in the relative aging of the population in recent years. For example, between 1995 and 2025, the proportion of the population aged over 60 rose by almost 10 percentage points (pp) to 25%.

Several factors have driven this. First, fertility rates in the US, as in much of the world, have fallen sharply. This has slowed natural population growth and, by reducing the number of younger people relative to older cohorts, has increased the share of the population at older ages. Second, more recently, net inward migration to the US has slowed. Because migrants tend to be younger than the overall population, weaker immigration also tends to raise the average age. Finally, rising life expectancy over much of the post-war period has allowed more people to survive into older age, further increasing the older population's share.

Exhibit 2: The trend towards an older composition of the population is expected to continue

Forecast changes in the share of population by age group relative to 2025 (pp)



Source: United States Census Bureau

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Lower fertility and, more recently, weaker net migration look set to slow overall US population growth in the decades ahead. As a result, older Americans are likely to play an increasingly important role in the economy, both as a share of the population and, in many age groups, in absolute numbers. The Census Bureau projects the share of the population over 60 will rise another 5pp by 2055, to stand at nearly 30% of the population (Exhibit 2). For businesses, understanding how the needs and spending patterns of older consumers differ from those of younger generations will therefore become increasingly relevant.

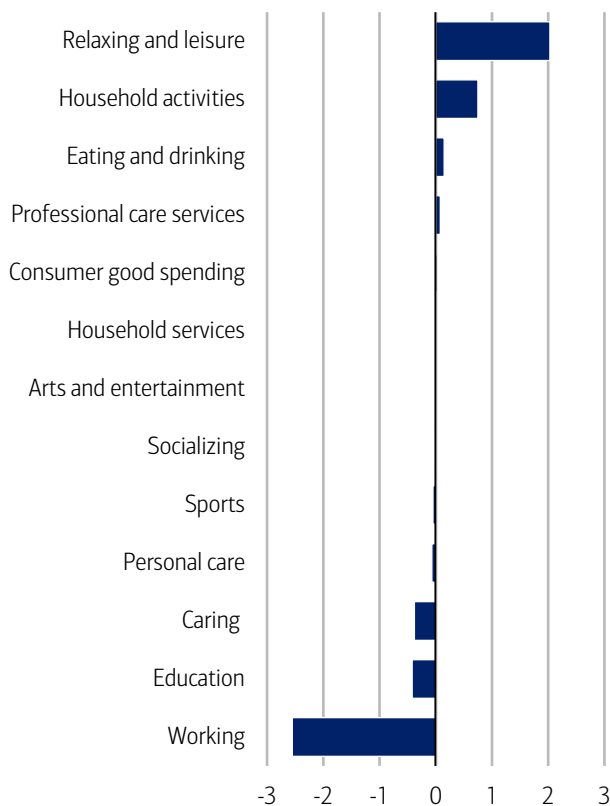
Older age groups allocate their time differently

Why does this matter? One reason is that older people tend to spend their time and money quite differently from younger adults. Most obviously, many work less or have retired altogether. Data from the American Time Use Survey (ATUS) shows that people aged 65 and over spend, on average, around two and a half fewer hours per day working than the population aged 15+ (Exhibit 3).

That leaves considerably more time for other activities. People aged 65 and over spend around two hours more per day on leisure and sports activities, with television viewing accounting for a particularly large share of this additional leisure time (Exhibit 4).

Exhibit 3: Older people spend less time working and more time relaxing

Difference between time spent on activities for those aged over 65 years old compared to all aged over 15 years old (hours)

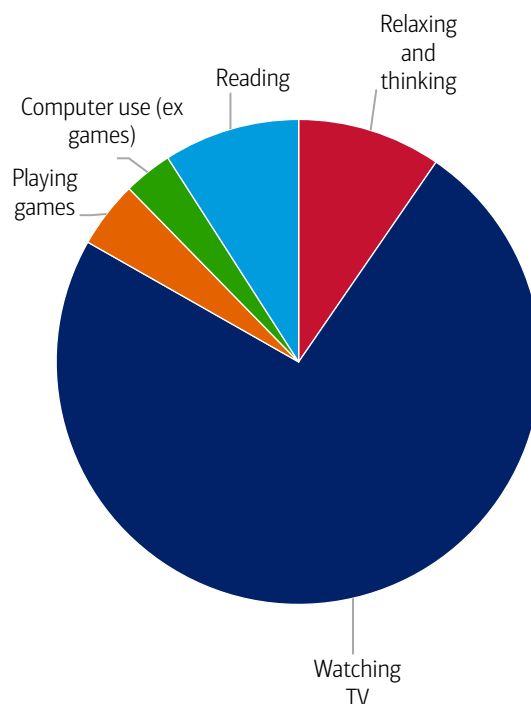


Source: Haver Analytics (American Time Use Survey)

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Exhibit 4: Watching television is by far the largest relaxation activity

Breakdown of hours spent on selected relaxation and leisure activities for those aged over 65 (hours)



Source: Haver Analytics (American Time Use Survey)

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Older households also spend differently

Bank of America internal data on credit and debit card spending provides insights into how these differences in older generations' use of time also impact their spending. Rather than splitting our spending data by generation, as we often do, here we split by age bands, allowing for consistent comparisons over time.

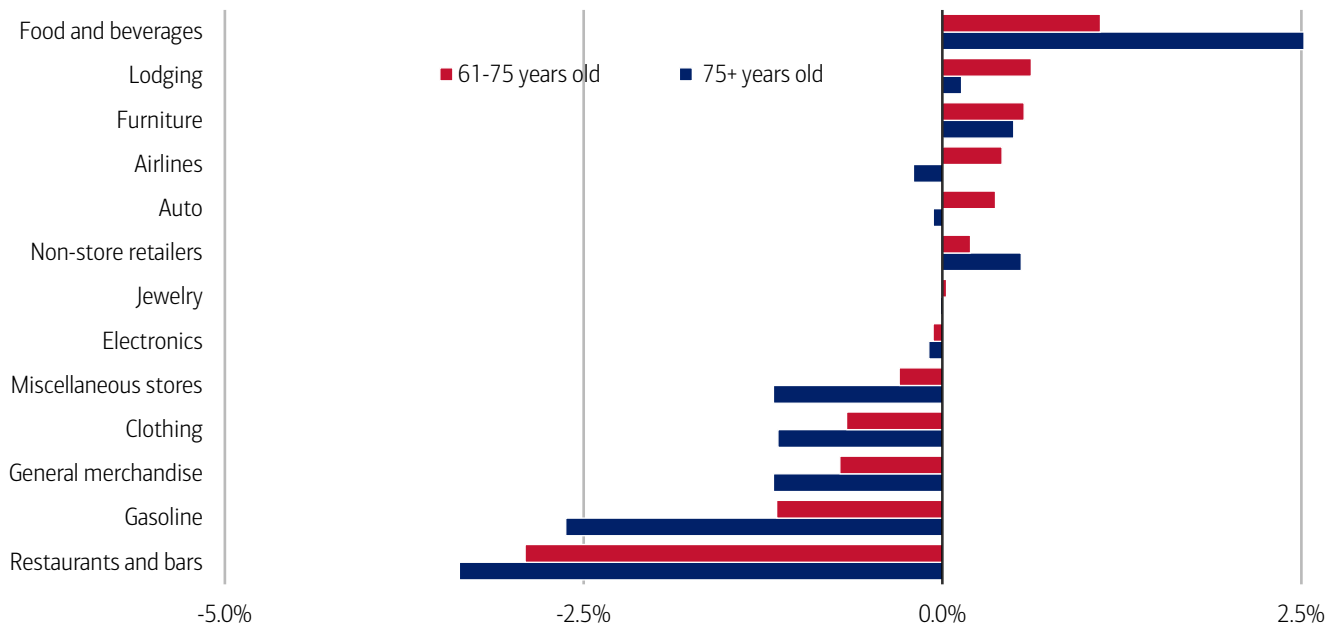
Exhibit 5 shows how the composition of card spending of households aged 61-75 and those older than 75 differs from that of all households. A few things stand out. For one, older households devote a greater share of their overall card spending to groceries (food and beverages). Households aged 61-75 also allocate more spending to travel (airlines and lodging). And restaurants and bars, gasoline, general merchandise and clothing account for a smaller share of older households' card spending.

These differences may seem fairly intuitive. Older households have more leisure hours, so spend relatively more on travel to enjoy them. Previously we found that more available time may support travel particularly around retirement, although the discretionary spending lift can be temporary (for more, read our publication: [Paychecks to pensions: The evolution of retiree spending](#)).

Older households are also likely to have less need to update their work wardrobes, so they probably spend less on clothing.

Exhibit 5: Older households allocate more of their card spending to groceries and travel, but less to eating out, gasoline, general merchandise and clothing

Difference in the share of total card spending by households aged 61-75 and 75+ relative to overall households' spending share, by category (January-July 2026, pp)



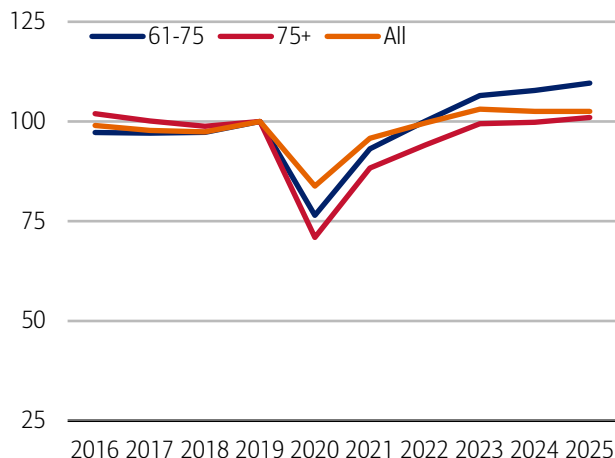
Source: Bank of America internal data

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Still, older households' relatively lower spending on restaurants and bars is a little more curious, perhaps, given dining out could be one way of making use of more leisure time. Indeed, when we look at how these spending shares are evolving, we find a nuanced picture. While households aged 61-75 do spend relatively less on restaurants and bars than the overall population, they appear to be narrowing this gap. But for those older than 75 this is not the case. In our view, the pandemic may still be weighing on dining-out spending among this older age group (Exhibit 6).

Exhibit 6: For restaurants and bars the story is mixed across older cohorts...

Share of households' total card spending on restaurants and bars (annual averages 2016-2025, index 2019 = 100)

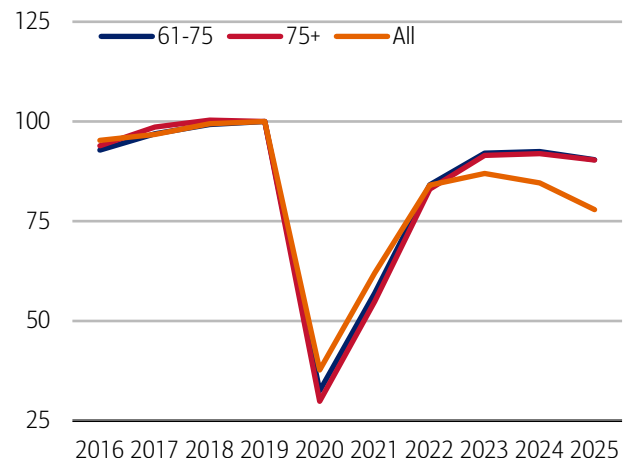


Source: Bank of America internal data

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Exhibit 7: ...but they are increasing their spending share relative to the overall population in airlines

Share of households' total card spending on airlines (annual averages 2016-2025, index 2019 = 100)



Source: Bank of America internal data

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Interestingly, however, the airline spending share of both older groups has recovered more strongly since the pandemic than that of all households, although it remains below its 2019 level (Exhibit 7).

Aging presents opportunities, but also challenges

In our view, the aging of the US population presents important opportunities for the economy and businesses. Older consumers have more leisure time and businesses that cater to these demands may therefore benefit.

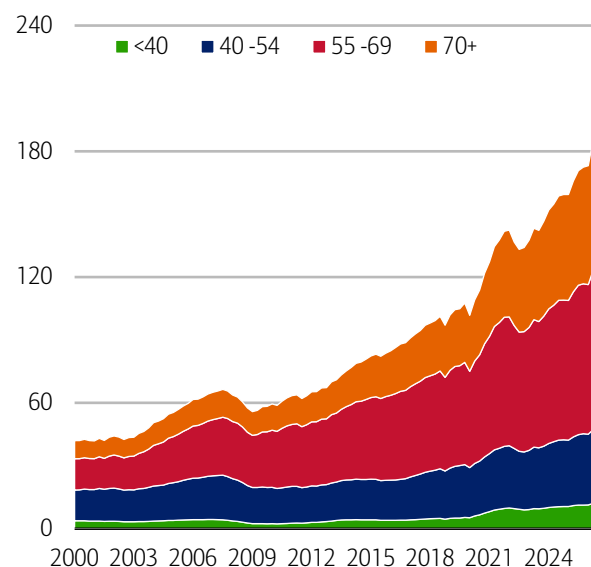
Moreover, some older consumers hold considerable amounts of net wealth and have been some of the biggest beneficiaries of recent rises in equities. Using data from the Federal Reserve, Exhibit 8 shows that as of the second quarter of 2026 the net worth of those households aged 55 and over was close to \$140 trillion, around three-quarters of the total. And with equity markets rising strongly, these age groups have seen a more than 20% increase in their net worth over the past two years, potentially enhancing their spending power further.

But an important caveat is that not all older consumers are in this position. Previous Institute work found evidence consistent with equity-market wealth effects being concentrated toward higher-income households (read our publication: [Paychecks to pensions: The evolution of retiree spending](#)). And Census Bureau research has found that around 14% of Social Security recipients aged over 65 rely on it for over 90% of their income. For older households without a wealth cushion, recent elevated cost pressures, like gasoline, will likely have put them under more significant financial strain. They will also be more dependent on cost-of-living (COLA) increases in Social Security to underpin their spending.

And, more broadly, outside of card spending, healthcare costs are a much larger factor in older households' budgets (Exhibit 9). The evolution of these costs going forward will be a key variable for older consumers' budgets.

Exhibit 8: A large and growing proportion of net worth is held by older cohorts

Distribution of household wealth by age (\$, trillions)

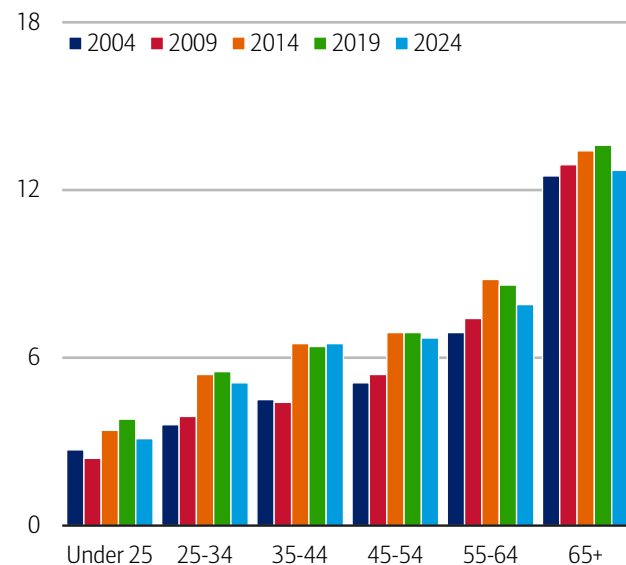


Source: Board of Governors of the Federal Reserve System

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Exhibit 9: Healthcare is a significant cost for older households

Healthcare spending as a percentage of overall household expenditure by age groups (%)



Source: Bureau of Labor Statistics (BLS)

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The differences between the total and per household card spending growth rate (if discussed) can be explained by the following reasons:

1. Overall total card spending growth is partially boosted by the growth in the number of active cardholders in our sample. This could be due to an increasing customer base or inactive customers using their cards more frequently.
2. Per household card spending growth only looks at households that complete at least five transactions with Bank of America cards in the month. Per household spending growth isolates impacts from a changing sample size, which could be unrelated to underlying economic momentum, and potential spending volatility from less active users.
3. Overall total card spending includes small business card spending while per household card spending does not.
4. Differences due to using processing dates (total card spending) versus transaction date (per household card spending).
5. Other differences including household formations due to young adults moving in and out of their parent's houses during COVID.

Any household consumer deposit data based on Bank of America internal data is derived by anonymizing and aggregating data from Bank of America consumer deposit accounts in the US and analyzing that data at a highly aggregated level. Whenever median household savings and checking balances are quoted, the data is based on a fixed cohort of households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through the most current month of data shown.

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We consider a measure of services necessity spending that includes but is not limited to groceries, utilities, and gasoline. Discretionary services includes but is not limited to charitable donations, leisure travel, entertainment, and professional/consumer services. Discretionary retail includes but is not limited to general merchandise, miscellaneous, clothing, electronics and furniture. It excludes categories like groceries and gasoline. Holiday spending is defined as items in which spending in the November-December period is usually at least 20% of total annual spending on the category. Value and premium grocers are determined judgmentally on a proprietary analysis of merchants by equity analysts.

Durables spending is defined as spending on electronics, building materials, auto-related spending and furniture. Premium durables spending is based on a selection of retailers who are judged to sell relatively higher value products. Conversely, value durables spending is based on a selection of retailers who are judged to sell relatively lower value products.

Lower, middle and higher household income cuts in Bank of America credit and debit card spending per household, and consumer deposit account data are based on quantitative estimates of each households' income. These quantitative estimates are bucketed according to terciles, with a third of households placed in each tercile periodically. The lowest tercile represents 'lower income', the middle tercile represents 'middle income' and the highest tercile 'higher income'. The income thresholds between these terciles will move over time, reflecting any number of factors that impact income, including general wage inflation, changes in social security payments and individual households' income. The income and tercile in which a household is categorised are periodically re-assessed.

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Any reference to card spending per household on gasoline includes all purchases at gasoline stations and might include purchases of non-gas items.

Additional information about the methodology used to aggregate the data is available upon request.

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